

NYC Luxury Condo Sales Surge, but the Market Is Starving for Supply, Not Demand

Record \$10M+ contracts mask a 17% drop in overall activity, revealing a market bifurcated by price and inventory.

The most revealing number in the second-quarter Manhattan new development data is not the 38 contracts signed above \$10 million. It is the 112 new units that launched. That is the lowest quarterly supply injection in a decade. And it explains why the headline-luxury is on fire-is true but incomplete.

Contracts for condos asking \$10 million or more nearly doubled year-over-year to 38, and the 56 total luxury deals set a record for any quarter this decade, according to Brown Harris Stevens Development Marketing. But overall contract activity fell 17 percent from last year to 311. Total volume of \$1.5 billion was only slightly above the 10-year average of \$1.4 billion. The market is not booming. It is compressing.

Available inventory sits at roughly 3,100 units, about three-fifths of the decade average. Nearly 40 percent of those units are concentrated in just five buildings, four of which launched sales five or more years ago. That is not a healthy pipeline. It is a backlog of product that could not clear at prior pricing, now sitting alongside a trickle of new supply.

The capital markets implication is straightforward: scarcity is propping up pricing at the top, but it is also masking the underlying demand profile for the rest of the market. When Serhant New Development reports that months of remaining supply for units asking \$3 million or less is near four months, that is not a demand signal. It is a supply signal.

There are simply not enough new units entering the market to test whether buyers at that price point are willing to transact. The absorption rate looks healthy only because the denominator is shrinking. Developers are not building because the math does not work. Construction financing remains expensive and selective. Land costs have not repriced enough to make mid-market condominium development feasible at current exit cap rates.

The result is a market that is bifurcated not just by price, but by the availability of new product. The luxury segment benefits from a different dynamic. Buyers at \$10 million and above are less rate-sensitive and less dependent on mortgage financing. They are also competing for a finite set of trophy addresses.

The \$80 million contract at Zeckendorf Development and Atlas Capital Group's 80 Clarkson is a reminder that the top of the market operates on its own gravity. But that deal, like many at the high end, was signed quietly and only disclosed this quarter. The market is not transparent at the top; it is opaque and relationship-driven. Brooklyn tells a similar story.

Contract signings fell slightly to 222, but volume rose to \$450 million from \$391 million, driven by luxury offerings. Supply expanded as 331 new units launched, outpacing contracts. That is a market where developers are still willing to bring product to market, but absorption is uneven. The question for capital markets participants is not whether luxury demand is real. It is whether the current pricing environment is durable once supply normalizes.

If developers begin to deliver meaningful new inventory in 2027 and 2028-and that is a big if, given financing constraints-the market will finally get a stress test. Until then, the data is telling us more about what is not being built than about what buyers actually want.

The best-selling building in the quarter was Related Companies' Strathmore at 400 East 84th Street, which moved 38 units at an average asking price of over \$1,700 per square foot. That is not luxury pricing. That is well-priced product in a supply-constrained market. It is the kind of deal that works because the basis is right and the sponsor has credibility. The market is not rewarding risk.

It is rewarding structure, location, and price discipline. The next phase will be defined by which developers can bring new inventory to market at prices that clear, and which lenders are willing to finance that bet.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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